M&A ANALYSIS

Hewlett Packard Enterprise

Acquisition of

Juniper Networks

All-Cash Transaction · $13.7 Billion · January 9, 2024

NYSE: HPE × NYSE: JNPR · Announcement: January 9, 2024 · Expected Close: Q4 2024

$40.00/sh	32.4%	$13.7B	14.4x	~$500mm
Offer Price	Premium to Close	Enterprise Value	EV / LTM EBITDA	Run-Rate Synergies

EXECUTIVE SUMMARY

HPE Acquisition of Juniper Networks · All-Cash · January 2024

$40.00	32.4%	$13.7B	~$500mm	(57.4%)
Offer Price / Share	Premium to Prior Close	Enterprise Value	Run-Rate Cost Synergies	Year 1 EPS Dilution
All-Cash · No Financing Cond.	8.6% to 52-Week High	EV / LTM EBITDA: 14.4x	Full run-rate by Year 4	Accretive by Year 3+

TRANSACTION OVERVIEW

Item	Details
Acquiror	Hewlett Packard Enterprise Co. (NYSE: HPE)
Target	Juniper Networks, Inc. (NYSE: JNPR)
Transaction Type	All-Cash Acquisition — No Stock Component
Offer Price	$40.00 per share (fully diluted)
Enterprise Value	$13,696mm (~$13.7 billion)
Announcement	January 9, 2024
Expected Close	Q4 2024 (all regulatory approvals cleared)
Financing	TLA $4.0B + 5-yr Senior Notes $3.0B + 10-yr Senior Notes $3.0B

STRATEGIC RATIONALE

01 — AI-Driven Networking

Juniper's Mist AI platform positions HPE at the forefront of AI-native enterprise networking — a $60B+ addressable market.

02 — Scale & Market Leadership

Creates #2 enterprise networking player globally. Combined revenue ~$31.4bn; HPE becomes a full-stack IT infrastructure provider.

03 — $500mm Cost Synergies

Run-rate synergies achievable by Year 4 across headcount, facilities, procurement, IT and G&A consolidation.

04 — Margin Expansion Path

PF EBITDA margin expands from 13.7% at close to 15.1% at full synergy run-rate. Deleveraging to ~4x gross leverage by Year 3.

TRANSACTION STRUCTURE | SOURCES & USES OF FUNDS

HPE Acquisition of Juniper Networks · All-Cash · January 2024

SOURCES

Source	Amount ($mm)	% of Total	Rate / Terms
Cash on Hand (HPE)	3,246	24.5%	Existing cash + facilities
Term Loan A (TLA)	4,000	30.2%	SOFR + 125 bps · 5-year
Senior Notes (5-Year)	3,000	22.6%	~5.90% fixed · 5-year
Senior Notes (10-Year)	3,000	22.6%	~6.10% fixed · 10-year
TOTAL SOURCES	**13,246**	**100.0%**	**Committed financing secured**

USES

Use	Amount ($mm)	% of Total	Notes
Purchase JNPR Equity (325.9mm diluted shares × $40.00)	13,036	98.4%	Equity consideration
M&A Advisory Fees (buy-side + sell-side)	105	0.8%	Goldman Sachs, Qatalyst, etc.
Legal & Professional Fees	30	0.2%	Legal, accounting, other
Financing Fees (Debt Issuance Costs)	75	0.6%	Capitalized & amortized
TOTAL USES	**13,246**	**100.0%**	**Sources = Uses: Balanced ✓**

PRO FORMA LEVERAGE AT CLOSE

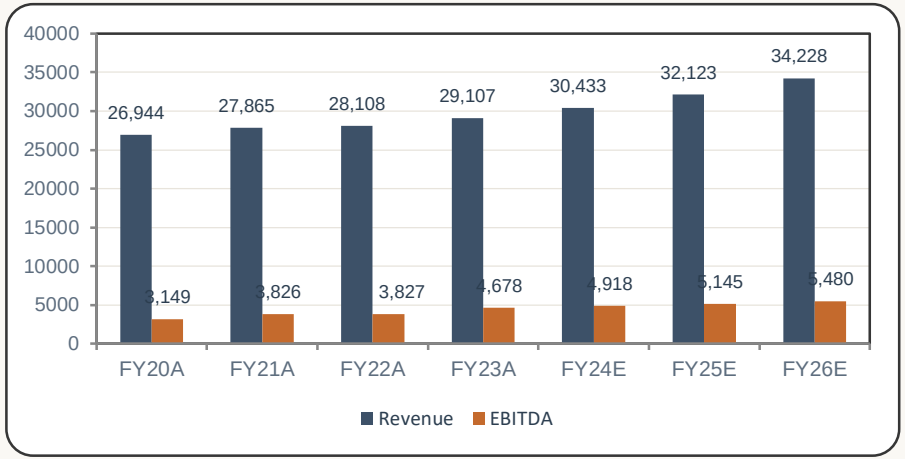
Pro Forma Total Debt	**$25,566mm**
Existing HPE ST Debt	$4,274mm
Existing HPE LT Debt	$8,453mm
New TLA (acquisition)	$4,000mm
New Senior Notes	$6,000mm
Assumed JNPR Debt	$1,746mm
Pro Forma Cash	**$3,168mm**
Pro Forma Net Debt	**$22,398mm**

Gross Leverage (Pre-Syn.)	**5.9x**
Net Leverage (Pre-Syn.)	**5.2x**
Gross Leverage (Run-Rate)	**5.3x**

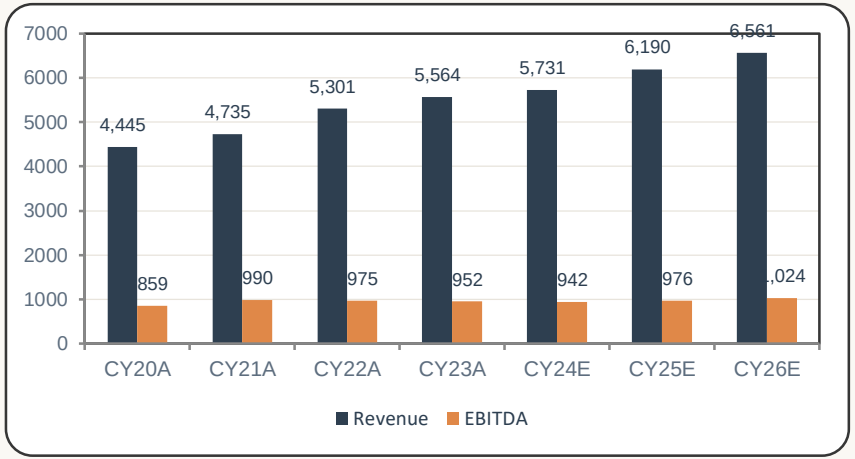
STANDALONE FINANCIALS | HPE & JUNIPER NETWORKS

HPE Acquisition of Juniper Networks · Project Olive · All-Cash · January 2024

HEWLETT PACKARD ENTERPRISE — REVENUE & EBITDA ($mm)



JUNIPER NETWORKS — REVENUE & EBITDA ($mm)



KEY METRICS COMPARISON

Metric	HPE FY22A	HPE FY23A	HPE FY24E	JNPR CY22A	JNPR CY23A	JNPR CY24E
Revenue ($mm)	$28,108	$29,107	$30,433	$5,301	$5,564	$5,731
Revenue Growth	0.9%	3.6%	4.6%	11.9%	5.0%	3.0%
Gross Margin	31.4%	34.1%	34.1%	60.5%	61.6%	61.0%
EBITDA ($mm)	$3,827	$4,678	$4,918	$975	$952	$942
EBITDA Margin	13.6%	16.1%	16.2%	18.4%	17.1%	16.4%
EPS Diluted	$0.66	$1.54	$1.13	$1.44	$0.98	$2.04

SYNERGY ANALYSIS | COST SYNERGY BUILD & NET PRESENT VALUE

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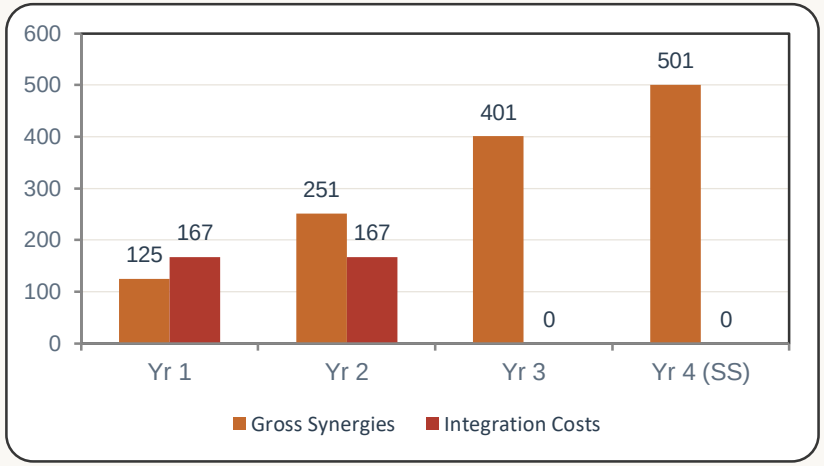
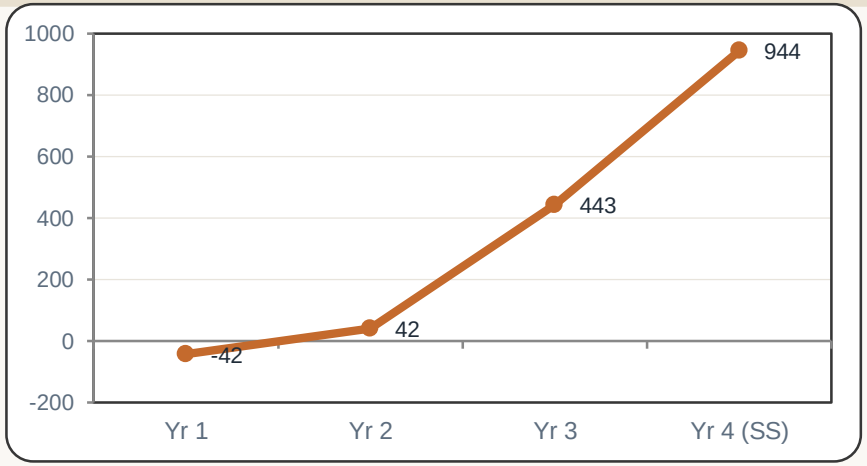
GROSS SYNERGIES vs. INTEGRATION COSTS ($mm)



CUMULATIVE NET SYNERGIES ($mm)



SYNERGY PHASE-IN SCHEDULE ($mm) | STEADY STATE = $501mm RUN-RATE

Category	Year 1	Year 2	Year 3	Year 4 (SS)	Driver
Headcount / Redundancies	32	65	103	129	~10% role overlap across combined entity
Facilities Consolidation	33	66	106	132	Real estate portfolio rationalization
Procurement / Supply Chain	27	54	87	108	Vendor & contract consolidation
IT Systems Integration	11	22	35	44	Platform decommissioning & migration
G&A / Corporate Overhead	22	44	70	88	Shared services & back-office streamlining
Total Gross Synergies	**125**	**251**	**401**	**501**	**~1.1% of combined revenue (PF)**
(–) Integration Costs	(167)	(167)	0	0	One-time charges; $334mm total
Net Synergies	(42)	84	401	501	PV of synergies: $4.4B @ 10%

VALUATION ANALYSIS | DCF, TRADING COMPS & IMPLIED SHARE PRICE

HPE Acquisition of Juniper Networks · Project Olive · All-Cash · January 2024

DCF WACC DERIVATION

Risk-Free Rate	4.40%
Equity Risk Premium	5.50%
Levered Beta	1.15x
Cost of Equity	10.7%
Cost of Debt (pre-tax)	5.40%
Target D/(D+E)	25%
WACC	**9.20%**
Terminal Growth Rate	**2.50%**
Exit EBITDA Multiple	**14.0x**

UNLEVERED FREE CASH FLOW ($mm)

FCF Build	Yr 1	Yr 2	Yr 3	Yr 4	Yr 5
EBIT	751	822	896	930	980
(–) Taxes	(105)	(115)	(125)	(130)	(137)
NOPAT	646	707	770	799	843
(+) D&A	191	154	128	109	94
(–) CapEx	(97)	(93)	(92)	(93)	(96)
UFCF	**739**	**768**	**807**	**815**	**841**
Discount Factor	0.916	0.839	0.768	0.703	0.644
PV of UFCF	677	644	619	573	541

EQUITY BRIDGE

Sum PV of UFCFs	$3,055mm
PV of TV (Exit Mult.)	$8,586mm
Enterprise Value	$11,641mm
(–) Total Debt	($1,746mm)
(+) Cash	$1,221mm
Equity Value	**$11,116mm**
Shares (FD)	**325.9mm**
Implied Price	**$34.11**

TRADING COMPARABLES

Company	Mkt Cap	EV ($mm)	EV/Rev (LTM)	EV/EBITDA (LTM)	NTM P/E
Cisco Systems (CSCO)	$210.5B	$199,262	3.50x	11.8x	16.2x
Extreme Networks (EXTR)	$2.6B	$2,808	1.99x	15.3x	18.2x
F5, Inc. (FFIV)	$9.9B	$8,462	3.01x	10.1x	14.8x
Peer Mean / Median	—	—	2.83x / 3.01x	12.4x / 11.8x	—
JNPR (at Offer)	**$13.0B**	**$13,561**	**2.40x**	**14.4x**	**19.6x (NTM)**

PRO FORMA FINANCIALS | COMBINED INCOME STATEMENT & BALANCE SHEET

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PRO FORMA INCOME STATEMENT BRIDGE ($mm) — YEAR 1

Line Item	HPE SA	JNPR SA	Synergies	PPA Adj.	Pro Forma
Revenue	$26,944	$4,445	—	—	$31,389
Cost of Revenue	($18,892)	($1,628)	—	—	($20,520)
Gross Profit	$8,052	$2,818	—	—	$10,870
Gross Margin %	29.9%	63.4%	—	—	34.6%
Total OpEx	($7,528)	($2,166)	$125	—	($9,817)
EBIT	$524	$653	$125	—	$1,052
D&A (incl. PPA amort.)	$2,625	$207	—	$415	$3,247
EBITDA	**$3,149**	**$860**	**$125**	**$415**	**$4,299**
EBITDA Margin %	11.7%	19.3%	—	—	13.7%
Net Income	($322)	$258	$99	($328)	$752

PRO FORMA METRICS (PRE-SYNERGY vs. RUN-RATE)

$31.4B
PF Revenue (Yr 1)
Combined entity

13.7%
EBITDA Margin
Pre-synergy

15.1%
EBITDA Margin
At run-rate synergies

$4.3B
PF EBITDA (Yr 1)
Pre-synergy

$4.8B
PF EBITDA (Run-Rate)
+$501mm synergies

ACCRETION / DILUTION | EPS BRIDGE & CONSIDERATION ANALYSIS

HPE Acquisition of Juniper Networks · Project Olive · All-Cash · January 2024

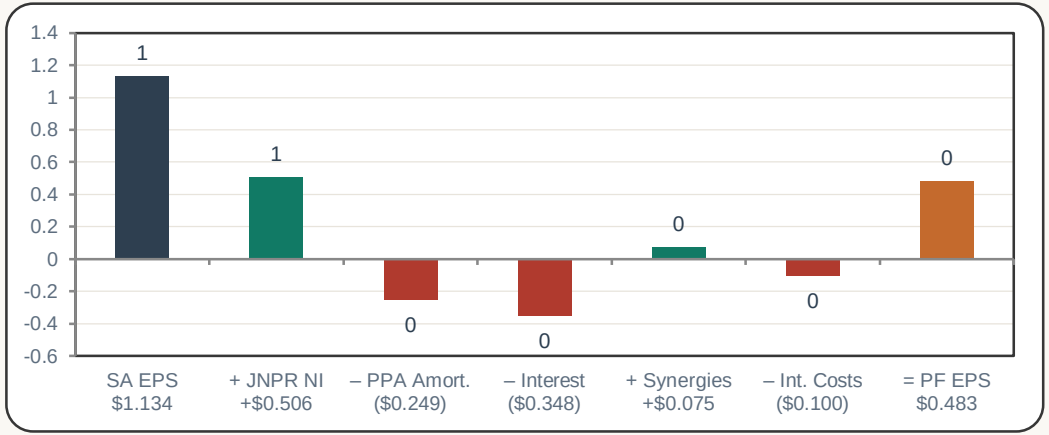
EPS ACCRETION / (DILUTION) SUMMARY

EPS Metric	Year 1E	Year 2E	Year 3E	Commentary
Standalone EPS : Diluted ($)	$1.134	$1.224	$1.323	HPE standalone organic growth ~8% CAGR
Pro Forma EPS : Diluted ($)	$0.483	$0.706	$0.995	Dragged by $458mm incremental interest + PPA amort.
EPS Accretion / (Dilution) ($)	($0.651)	($0.519)	($0.328)	Improving as synergies ramp and int. costs roll off
EPS Accretion / (Dilution) %	**(57.4%)**	**(42.4%)**	**(24.8%)**	**Full accretion expected Year 4+ at run-rate synergies**

EPS BY CONSIDERATION STRUCTURE (Year 1 Snapshot)

Metric	100% Cash	50/50 Mix	100% Stock
Equity Consideration	$13.0B cash	$6.5B / $6.5B	$13.0B stock
New Shares Issued (mm)	0	383.4	766.8
PF Diluted Shares (mm)	1,316	1,699	2,083
Incremental Interest	($458mm)	($229mm)	$0
PF Net Income ($mm)	$635	$864	$1,094
PF EPS (Diluted)	**$0.483**	**$0.509**	**$0.525**
SA EPS	$1.134	$1.134	$1.134
EPS Acc./(Dil.) %	**(57.4%)**	**(55.1%)**	**(53.7%)**

PRO FORMA EPS BRIDGE: YEAR 1 (DILUTED $)



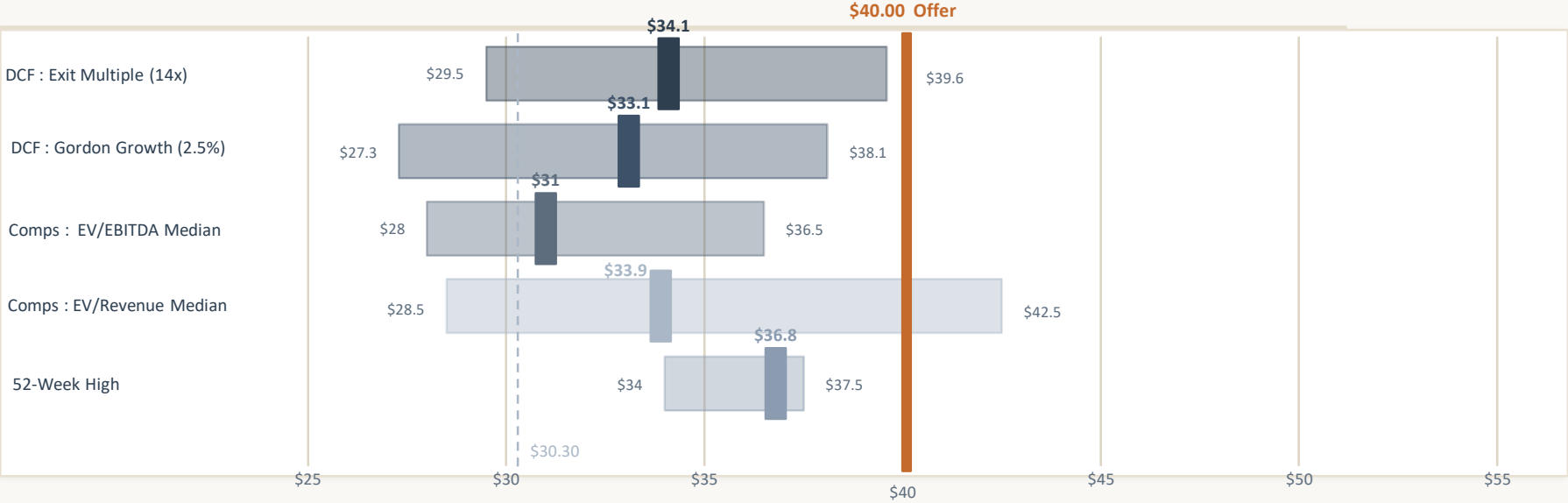
KEY TAKEAWAY

The all-cash deal is initially dilutive (-57% Yr 1) due to $10.0B of new debt ($458mm annual interest) and $328mm PPA amortization charge. Dilution narrows materially to -25% by Year 3 as synergies ramp. Full accretion expected Year 4+ once $501mm run-rate synergies are realised and integration costs roll off. HPE management's strategic rationale rests on long-term AI networking leadership and FCF generation, not near-term EPS.

VALUATION FOOTBALL FIELD | JNPR IMPLIED SHARE PRICE vs. OFFER

HPE Acquisition of Juniper Networks · All-Cash · January 2024

IMPLIED SHARE PRICE RANGE : JUNIPER NETWORKS (OFFER: $40.00/SHARE · 1-DAY PRIOR CLOSE: $30.30)



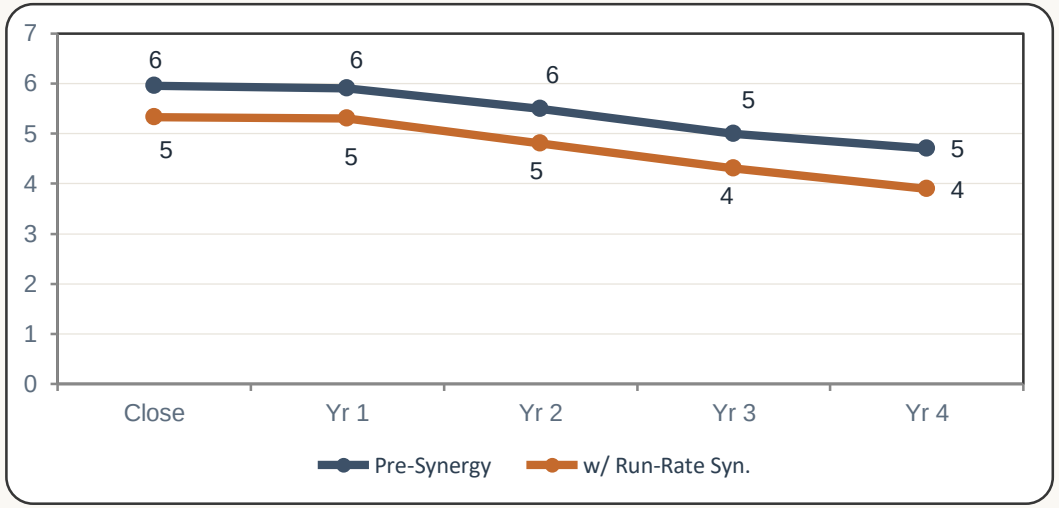
VALUATION SUMMARY TABLE: BASE CASE MIDPOINTS

Methodology	Low	Mid (Base)	High	vs. Offer ($40.00)	Notes
DCF — Exit Multiple (14x)	$29.54	$34.11	$39.59	(14.7%)	WACC 9.2%, Exit 14x EV/EBITDA
DCF — Gordon Growth (2.5%)	$27.25	$33.15	$38.11	(17.1%)	WACC 9.2%, TGR 2.5%
Trading Comps — EV/EBITDA	$28.00	$30.99	$36.49	(22.5%)	Peer median 11.8x applied to LTM
Trading Comps — EV/Revenue	$28.50	$33.90	$42.54	(15.3%)	Peer median 3.0x applied to LTM
Offer Price ★	**—**	**$40.00**	**—**	**32.4% to 1-Day Prior**	**$40.00/sh × 325.9mm diluted shares**

CREDIT PROFILE | LEVERAGE TRAJECTORY & PRO FORMA BALANCE SHEET

HPE Acquisition of Juniper Networks · All-Cash · January 2024

GROSS LEVERAGE TRAJECTORY (DEBT / EBITDA)



5.9x
Gross Leverage (Pre-Syn.)
Debt / EBITDA at close

5.3x
Gross Leverage (Run-Rate)
w/ full synergies

5.2x
Net Leverage (Pre-Syn.)
Net Debt / EBITDA

~3.2x
Interest Coverage (Est.)
EBITDA / Interest

PRO FORMA OPENING BALANCE SHEET HIGHLIGHTS ($mm)

Item	HPE SA	JNPR SA	PPA / Adj.	Pro Forma
Cash & Equivalents	$4,621	$1,221	($3,246)	$3,168
Accounts Receivable	$7,688	$964	$0	$8,652
Inventories	$2,387	$222	$0	$2,609
PP&E, net	$6,054	$947	$99	$7,100
Goodwill	$18,306	$3,670	$6,492	$28,468
Identified Intangibles	$1,128	$267	$3,333	$4,728
TOTAL ASSETS	**$51,803**	**$9,378**	**$9,924**	**$67,859**
Total Debt	$13,820	$1,746	$10,000	$25,566
Total Equity	$17,335	$4,353	($9,203)	$17,645
TOTAL LIAB. & EQUITY	**$51,803**	**$9,378**	**($3,246)**	**$67,859**

TRANSACTION TIMELINE | MILESTONES & KEY DEAL TERMS

HPE Acquisition of Juniper Networks · Project Olive · All-Cash · January 2024

TRANSACTION MILESTONES

Jan 9, 2024	Q1 2024	Q2 2024	Q3 2024	Q4 2024
Announcement	**HSR Filed**	**JNPR Shareholder Vote**	**Clearances**	**CLOSE**
Definitive Agreement signed $40.00/sh all-cash	Regulatory filings submitted DOJ, EU, SAMR, CMA	Shareholder approval obtained at special meeting	All regulatory approvals received globally	Transaction closes Integration programme begins

KEY DEAL TERMS & CONDITIONS

Governing Agreement

Definitive Merger Agreement signed January 9, 2024. No financing condition — committed financing secured at signing.

Regulatory Approvals

U.S. DOJ, EU (EC), China (SAMR), UK (CMA) — all cleared. No material remedies required.

Break-Up Fee

$550mm (~4.2% of equity value) payable by Juniper if deal terminated by Juniper. Reverse break-up fee: $750mm by HPE.

Accounting Treatment

Acquisition Method (ASC 805). Juniper fully consolidated post-close. PPA step-up ~$3.4B identified intangibles + $6.5B goodwill.

Post-Close Integration

HPE targeting $450mm+ annualized run-rate synergies by Year 3. Juniper to operate as standalone BU initially.

Consideration Structure

100% cash — $40.00/share × 325.9mm fully diluted shares = $13,036mm equity value. No stock component. No earnout.

M&A ANALYSIS

HPE × Juniper Networks

All-Cash · $13.7 Billion · January 2024

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NYSE: HPE × NYSE: JNPR

Announcement: January 9, 2024
Expected Close: Q4 2024
Transaction Value: $13,696mm
Consideration: All-Cash @ $40.00/share

EV / LTM EBITDA	**14.4x**
Premium to Prior Close	**32.4%**
Run-Rate Synergies	**~$500mm**
PV of Synergies	**$4.4B**
New Debt Raised	**$10.0B**